

Neuland Laboratories Ltd

Concall Tracker • What the last 3 years of earnings calls say • Prepared 11 Jul 2026 • Ticker: NEULANLAB

1. Snapshot

What the business does: Neuland is a Hyderabad-based maker of **active pharmaceutical ingredients (APIs)** - the actual chemical that makes a medicine work, sold to drug companies who turn it into tablets. It earns money two ways. **(1) GDS - Generic Drug Substances:** making APIs for medicines whose patents have expired; split into *Prime* (older, high-volume, thin-margin molecules) and *Specialty* (harder, higher-margin ones). **(2) CMS - Custom Manufacturing Solutions:** a contract-manufacturing (CDMO) service where Neuland makes brand-new patented molecules exclusively for innovator/biotech clients. CMS is now the bigger and faster-growing half.

₹25,026 cr

Market value of the company (what all shares are worth today).

₹2,053 cr

FY26 sales (total income) - the year's revenue, up 37% on FY24.

₹363 cr

FY26 net profit - money left after all costs; up from ₹259 cr in FY25.

29.4%

FY26 operating margin - ₹29 operating profit per ₹100 of sales; back near the FY24 peak.

68.9x

Price-to-earnings - you pay ₹69 today for each ₹1 of yearly profit. That is expensive.

Net cash

Borrowings ₹301 cr are more than covered by ₹353 cr cash - the company owes nothing on a net basis.

Return on capital (ROCE) 26.6% and return on equity 21.5% - for every ₹100 the business and its owners put in, it earns about ₹22-27 a year. Those are genuinely good returns; the debate is only about the price paid for them.

2. Concall coverage

We read **13 earnings-call transcripts** from Screener, covering **Q4 FY23 (May 2023) through Q4 FY26 (May 2026)** - a continuous ~3-year stretch of quarterly calls. That is more than enough to judge both the earning trigger and whether management kept its word.

Quarter	Call date	Sales (₹cr)	Op. margin	Net profit (₹cr)	Read?
Q4 FY23	11 May 2023	415	30.8%	85	Yes
Q1 FY24	03 Aug 2023	365	27.2%	62	Yes
Q2 FY24	07 Nov 2023	421	33.4%	89	Yes
Q3 FY24	09 Feb 2024	395	31.1%	81	Yes
Q4 FY24	14 May 2024	390	28.7%	68	Yes
Q1 FY25	01 Aug 2024	444	28.9%	98*	Yes
Q2 FY25	06 Nov 2024	315	20.8%	32	Yes
Q3 FY25	11 Feb 2025	402	22.5%	101*	Yes
Q4 FY25	15 May 2025	336	17.3%	28	Yes
Q1 FY26	31 Jul 2025	301	14.4%	14	Yes
Q2 FY26	07 Nov 2025	516	30.4%	97	Yes
Q3 FY26	09 Feb 2026	448	~20%	40	Yes
Q4 FY26	12 May 2026	789	40.5%	213	Yes

*Q1 FY25 profit includes a ₹21 cr one-off gain from selling property; Q3 FY25 includes a ₹56 cr property-sale gain. Strip these out and the underlying FY25 quarters were weaker than they look. Notice how the sales line jumps around - ₹301 cr one quarter, ₹789 cr the next. That zig-zag is the single most important fact about this business.

★ Latest concall highlights - Q4 & FY26 (call held 12 May 2026)

- **A record-smashing quarter.** Q4 sales were **₹789 cr, up 135%** on the same quarter last year, and net profit was **₹213 cr** (versus just ₹28 cr a year ago). In plain terms: a handful of big custom-manufacturing orders all shipped in one quarter, and profit exploded.
- **But management itself said not to trust it.** The 40.5% operating margin was called "exceptional... should not be seen as an indicator of future performance." They stressed the same lumpiness that made Q4 huge also made the prior quarter (Q3) muted.
- **Full-year FY26 was genuinely strong:** sales ₹2,053 cr (+37%), profit ₹363 cr. Custom manufacturing (CMS) was over two-thirds of the Q4 revenue - it is clearly the growth engine.

- **The next big bet - peptides:** a new large-scale peptide plant (for GLP-1 / weight-loss-type drugs) is due to open **July 2026**. Management called this market a "\$5-6 billion" opportunity with "the potential to create another Neuland" - but admitted there are **no firm contracts yet**, only early-stage projects.
- **Tone:** confident on the multi-year direction, deliberately humble on any single quarter. A leadership handover took effect 1 April - Saharsh Davuluri is now CEO & Managing Director; co-promoter Sucheth Davuluri moved to Vice Chairman. Described as long-planned.

2b. Business mix & capacity

Custom manufacturing (CMS) vs generics (GDS): CMS has run at roughly **45-55% of revenue** for the last two years and was **over two-thirds** in the blockbuster Q4 FY26 - it is the swing factor. **Home vs abroad:** Neuland is overwhelmingly an **exporter**; management pegged the **US at ~40% of revenue** and said direct exports are the bulk of sales (the India share of end-demand is tiny). A plain read: this is a dollar-earning business whose fortunes track US and European drug customers, not the Indian market. **Capacity:** as of the latest call, its three older plants (Units 1-3) run at **85-90%** - **quite full**, while the newest block is **~65%** (room to grow). A brand-new peptide facility opens July 2026, and capex is stepping up sharply (FY26 spend ~₹397 cr), so the company is building ahead of demand.

★ 3. Earning-trigger thesis

The one thing management points to again and again is the **custom-manufacturing (CMS) business scaling up**: a small set of patented molecules Neuland makes for innovator clients are moving from trial-stage to full commercial production, each one worth hundreds of crores a year. Layered on top is a **new large-scale peptide/GLP-1 plant** (opening July 2026) aimed at the weight-loss-drug boom. The trigger is **real and already showing up in the numbers** - FY26 sales grew 37%. The catch is that this revenue is **extremely lumpy** (it arrives in big chunks when a molecule ships), it rests on **very few molecules**, and the peptide bet is still unproven.

Trigger	What management said	Evidence so far	Time horizon	Strength
CMS commercial molecules ramping	2-3 big custom molecules moving to full production; "next 2-3 years of growth is largely preordained" by molecules already in hand.	Delivered - FY26 sales +37%, CMS over two-thirds of Q4. But the commercial-molecule count is stuck at ~9 ; growth is value-per-molecule, not more molecules.	Now - 3 yrs	Moderate - live and proven, but concentrated & lumpy.
New peptide / GLP-1 plant	"\$5-6 bn" market; "potential to create another Neuland"; plant opens July 2026; making Tirzepatide & others.	Plant on schedule but no firm contracts yet - only 8-10 early-stage programs. First commercial peptide deal targeted only in FY27.	3-5+ yrs	Unproven - big optionality, zero revenue today.
Unit 3 & Unit 1 capacity expansion	New production blocks to feed the CMS ramp; one molecule's capacity lifted from ~50 to ~150 tonnes.	Blocks commissioned and shipping, but "still very early"; newest unit only ~65% used.	Now - 2 yrs	Moderate - enabling, not a driver on its own.

One watch-item: a key CMS molecule is **bempedoic acid** (for client Esperion, which is itself being acquired). Investors flagged its patent expiry later this decade as a risk to a chunk of CMS revenue - management would not confirm specifics.

4. Management-consistency scorecard

Did they do what they said? This is where Neuland scores well.

Period	What was promised	What actually happened	Verdict
Q3 FY24 (Feb 2024)	First explicit outlook: ~20% growth a year over 4-5 years; and a clear warning that FY25 would be a soft "normalisation" year .	FY25 did come in soft (sales -5%). They pre-warned a full year ahead - no nasty surprise.	Delivered
Q1 FY25 (Aug 2024)	FY25 "modest growth"; growth returns FY26; Unit 3 blocks done by FY25, commercial in FY26.	Had to cut the FY25 view to "flat" one quarter later (Q2) as orders shifted out. Honest about it, but a downgrade.	Partly
Q2-Q4 FY25	FY25 flat is a "blip"; growth resumes in FY26 on the FY24 base; recovery is visibility-backed.	FY26 sales grew 37% to ₹2,053 cr - exactly the promised rebound. Call delivered.	Delivered
FY25-FY26	Big ₹250 cr+ peptide plant to open ~FY27; long-dated optionality, not near-term revenue.	On schedule for July 2026; consistently framed as years-away - never oversold as imminent.	Too-early
Every call	"Judge us on a 3-year block, not any single quarter - this business is lumpy." Record Q4 margins "not repeatable."	Held this line for 13 straight calls - even talked down their own blowout quarters.	Delivered

Narrative drift: Remarkably little. The pillars - CMS commercialisation, higher-margin Specialty generics, capacity build-out, and lately peptides - have been the same story throughout, sensibly evolving rather than lurching. Management repeatedly under-promised and refused to give quarterly guidance, and was praised by analysts on-call for being "forthcoming and honest." The only genuine slip was cutting the FY25 outlook mid-year, which they owned candidly. One small governance smudge: on the Q3 FY26 call an investor alleged the published transcript had been edited to soften a question - a minor flag, not a pattern.

5. Bottom line

Durable earning trigger? → MAYBE

There **is** a real, live driver - custom-manufacturing molecules are ramping and FY26's 37% jump proves it is happening, not just talk. But "durable" is not yet earned. The revenue is violently lumpy (sales swung ₹301 cr → ₹516 cr → ₹448 cr → ₹789 cr across four quarters), it leans on a **static count of ~9 commercial molecules** (one with a looming patent risk), the development pipeline was flagged as thin by sharp analysts, and measured cleanly from FY24 to FY26 the underlying growth is only ~10% a year - the rest was a rebound from a dip. The exciting peptide leg has no contracts yet. Concrete and playing out, but unproven as a steady compounder - hence MAYBE.

Management consistent? → YES

Across 13 calls management said what it would do and largely did it: it pre-warned the FY25 dip a year early, promised an FY26 recovery and delivered a 37% jump, never dressed up its record quarters (it actively played them down), kept one steady story, and stayed transparent even when downgrading. That is about as consistent and honest as management commentary gets. The one mid-year FY25 downgrade and a minor transcript-editing complaint are the only blemishes on an otherwise clean record.

Sources: 13 Neuland Laboratories earnings-call transcripts (Q4 FY23-Q4 FY26) via Screener.in, plus Screener financial snapshot tables. This is not investment advice. Do your own due diligence. Figures are management-reported "total income" and may differ slightly from Screener's net-sales line.